

Tax Reporting Data Quality Summary

Prepared for: Operations Management

1. Executive Summary

Current tax reporting data presents **moderate-to-high risk** across several dimensions. With **16% of reports carrying discrepancies** and **14% missing cost basis data**, data integrity is a material concern heading into filing season. Most critically, **58.5% of reports (117 of 200) remain unfiled with the IRS**, creating significant deadline exposure. The portfolio reflects \$76,310.34 in realized gains/losses split across 93 short-term and 107 long-term positions — a mix that demands accurate cost basis to ensure correct tax treatment.

2. Top 3 Issues Requiring Immediate Attention

Priority	Issue	Scale
● #1	Unfiled IRS Reports	117 reports (58.5%)
● #2	Missing Cost Basis	28 reports (14%)
● #3	Data Discrepancies	32 reports (16%)

3. Recommended Actions

- Priority 1 — Unfiled IRS Reports (117 Reports)
- Immediately triage by **deadline proximity** and **dollar materiality**
 - Assign dedicated filing team resources; establish a **daily filing tracker**
 - Escalate any reports past or within **5 business days** of deadline to senior management
 - Confirm custodian data feeds are complete before batch submission
- Priority 2 — Missing Cost Basis (28 Reports)
- Cross-reference against **custodian records, trade confirmations, and transfer statements**
 - Flag accounts with transferred positions for **cost basis reconstruction** under IRS default methods (FIFO where applicable)
 - Note: Missing cost basis on **short-term positions carries higher tax impact** — prioritize those 93 short-term records first
 - Document all reconstruction methods for audit defensibility
- Priority 3 — Data Discrepancies (32 Reports)
- Run a **discrepancy classification report** to categorize by type (e.g., wash sales, corporate actions, lot mismatches)
 - Resolve before filing — submitting known discrepancies creates **amendment risk**
 - Check for overlap with the 28 missing cost basis reports, as these issues likely co-occur

4. Compliance Risks

 **The following risks should be reviewed with your compliance and legal teams.**

- **Late filing penalties** — IRS penalties for Form 1099-B/8949 failures can reach **\$310 per return** (2024 rates); 117 unfiled reports represent meaningful penalty exposure
- **IRS default cost basis rules** — Without documented cost basis, the IRS may assess gains on **full proceeds**, overstating taxable income and triggering client disputes
- **Wash sale misreporting** — Discrepancies among short-term positions frequently involve wash sale adjustments; errors here are a **common audit trigger**
- **Amended return risk** — Filing discrepant reports now and correcting later increases operational cost and **client confidence risk**

Recommended Next Step: Convene an ops + compliance working session within **48 hours** to assign ownership and set resolution deadlines for all three priority areas.